

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

COMPLAINANT’S MOTION TO
COMPEL DISCOVERY FROM
RESPONDENTS MSC
MEDITERRANEAN SHIPPING
COMPANY S.A., ZIM
INTEGRATED SHIPPING
SERVICES, COSCO SHIPPING
LINES CO LTD., AND WAN HAI
LINES LTD., AND FOR
SANCTIONS

Complainant Intermodal Motor Carriers Conference, American Trucking Associations, Inc. (“IMCC”) moves to compel immediate production of documents from Respondents MSC Mediterranean Shipping Company S.A. (“MSC”), ZIM Integrated Shipping Services (“ZIM”), COSCO Shipping Lines Co. Ltd. (“COSCO”), and Wan Hai Lines Ltd. (“Wan Hai”), who have not produced a single document since the April priority document production date and who failed to meet the September 3 deadline to complete document production (collectively “the non-producing Respondents”). 46 C.F.R. §502.150. In the interests of “proceed[ing] expeditiously,” Scheduling Order (Mar. 4, 2021) at 2, particularly as depositions are scheduled to begin in *thirteen days*, IMCC now brings the dispute to the Presiding Officer and respectfully requests that this Motion be immediately addressed and granted, and that these non-producing

Respondents be ordered to cure all deficiencies in their productions within three (3) days of receipt of notice by email. IMCC further requests that the Presiding Officer order that the non-producing Respondents pay IMCC's attorneys' fees and costs associated with preparing this Motion and the supporting papers. 46 C.F.R. § 502.150(b).

I. FACTS

Complainant's Statement:

IMCC filed its Complaint on August 17, 2020. Dkt.1. In anticipation of the accelerated litigation schedule imposed by the FMC Rules of Practice & Procedure ("FMC Rules"), and although dispositive motions then were pending before the Presiding Officer, IMCC served its first set of document requests on the non-producing Respondents on October 14, 2020. Golden Decl.¹ ¶ 5. IMCC listed a return date of 30 days after the filing of Respondents' Answers, i.e. March 22, 2021. First Joint Status Report ("First JSR") (Mar. 1, 2021) at 1. The Presiding Officer denied Respondents' dispositive motions, Dkt. 17, 24. Respondents filed their Answers on February 18, 2021. Dkt. 25-37.

The Parties collectively conferred and agreed to a schedule that the Presiding Officer incorporated into the initial Scheduling Order. First Scheduling Order, Dkt. 40 (Mar. 4, 2021). Pursuant to that Order, the Parties mutually exchanged production of "priority documents" in April 2021. *Id.* at 2. The Parties further agreed to complete document production by June 1, 2021, and to produce documents on a "rolling" basis to enable the parties to comply with the accelerated schedule for this proceeding and to facilitate an orderly and timely transition into fact depositions. *Id.* Given the significant burden of document discovery, Respondents proposed

¹ References to "Ex.," "Exs.," or "Golden Decl." are to the Declaration of David Golden in Support of Complainant's Motion to Compel for Sanctions, dated September 7, 2021.

(and IMCC agreed to) two extensions. *See* Second Joint Status Report, Dkt. 52 (“Second JSR”) (June 1, 2021); Third Joint Status Report, Dkt. 57 (“Third JSR”) (Aug. 13, 2021). As a result, the Presiding Officer amended the discovery schedule twice. *See* First Amended Scheduling Order, Dkt. 54 (June 9, 2021); Second Amended Scheduling Order, Dkt. 58 (Aug. 16, 2021) (the “operative scheduling order”). The operative scheduling order established a deadline for completing document production by September 3, 2021. *Id.* at 2. Depositions are scheduled to begin on September 20, 2021. *Id.*

IMCC fully complied with the scheduling order, including by providing rolling productions throughout the summer.² IMCC also reminded Respondents on two separate occasions of their representation to IMCC and to the Presiding Officer to make rolling productions. Exs. 2-3. The non-producing Respondents failed to make rolling productions.

At 4:21 PM on September 3, 2021—the document production deadline and the Friday before a Federal holiday—counsel for the non-producing Respondents informed IMCC that they would not comply with the operative scheduling order. Ex. 4. In that message, counsel for two non-producing Respondents (MSC and ZIM) stated that they “expected” to make their productions by September 13, *ten days* after the production deadline and *seven days* before depositions are scheduled to begin. *Id.* Two other non-producing Respondents (COSCO and Wan Hai) have not provided any estimate *at all* for completion. *Id.* These four Respondents ***have not produced even a single page*** since the April priority productions. In the interests of full disclosure, a summary of the Respondents’ productions in this matter is included in the table below.

² IMCC made productions on April 1, 2021 (3 documents, 95 pages); June 11, 2021 (8,098 documents, 31,157 pages) August 27, 2021 (19 documents, 24 pages); and September 3, 2021 (107 documents, 298 pages).

Respondents' Productions

Party	Document Count	Page Count	Date Received
CCM	44	1036	4/2/2021
CMA	11	90	4/2/2021
COSCO	21	107	4/2/2021
EVERGREEN	13	83	4/2/2021
HMM	8	47	4/2/2021
MAERSK	8	104	4/2/2021
MSC	1	1	4/2/2021
OCEMA	346	3384	4/2/2021
ONE	48	304	4/2/2021
WAN HAI	2	56	4/2/2021
YANG MING	17	333	4/2/2021
ZIM	13	126	4/2/2021
Hapag	61	529	4/5/2021
MSC	5	136	4/15/2021
Hapag	220	399	4/22/2021
YANG MING	1	22	5/19/2021
OCEMA	2217	7623	7/9/2021
OCEMA	2927	10127	7/14/2021
CMA	105	452	7/30/2021
HMM	330	3207	7/30/2021
OCEMA	3965	10784	7/30/2021
YANG MING	831	5748	7/30/2021
Hapag	13486	28225	8/3/2021
EVERGREEN	59	445	8/24/2021
ONE	4266	23084	8/26/2021
CMA	8	106	8/27/2021
CCM	66053	153293	8/30/2021
EVERGREEN	3799	27761	9/3/2021
MAERSK	3424	16849	9/3/2021

IMCC immediately objected to the non-producing Respondents' tactics. Ex. 5. In a final attempt to resolve the issue informally without involving the Presiding Officer, IMCC organized a meet and confer with the non-producing Respondents on September 7, 2021 at 10:00 AM. *Id.*; Golden Decl. ¶ 10. This meet and confer was insufficient to cure the non-producing

Respondents' failure to comply with the operative scheduling order. *Id.* The parties are at impasse, and this motion follows. *Id.*

MSC, ZIM, COSCO, and Wan Hai's Statements:

II. ARGUMENT

Complainant's Statement:

On *the final day* of document discovery, the non-producing Respondents unilaterally altered the operative scheduling order—with no request to the Presiding Officer to modify the schedule or any advance notice to IMCC. Ex. 4 (non-producing Respondents' email). In that message, two non-producing Respondents (MSC and ZIM) proposed finalizing their productions by September 13, *seven days* before depositions begin.³ *Id.* Two other non-producing Respondents (COSCO and Wan Hai) have not provided any estimate *at all* for completion. *Id.* These four Respondents *have not produced even a single page* since the April priority productions. Their failure to produce not only violates the Presiding Officer's Second Amended Scheduling Order but also violates their commitment to rolling productions. *See* First JSR at 2 ("The Parties will produce responsive documents on a rolling basis"); Third JSR at 4 ("Complainant notes that only Respondents OCEMA, CMA, Hapag-Lloyd, HMM, and Yang Ming have made any rolling productions since the June 1 Order."). The non-producing Respondents failed to move the Presiding Officer for a further extension of the Second Amended Scheduling Order. They have provided IMCC no reason for their failure to comply with the scheduling order. And they have no excuse for their delay. IMCC first served the document

³ In that same email, Respondents' counsel claims certain deficiencies exist in non-party motor carriers' productions of documents in response to subpoenas. This issue is irrelevant to the subject of this motion. *See* Golden Decl. ¶ 11.

requests on ***October 14, 2020***, and the Parties have jointly requested and received two extensions to complete document productions in the initial phase of this proceeding. Golden Decl. ¶ 5; Ex. 1 (service of RFPs); First Amended Scheduling Order; Second Amended Scheduling Order.⁴ As a result, IMCC respectfully requests that the Presiding Officer issue an order compelling the non-producing Respondents to complete their document productions immediately, to pay IMCC’s legal costs associated with this motion, and to require that the non-producing Respondents cure any deficiencies in their productions within three (3) calendar days of notice by email from IMCC.⁵

The Presiding Officer has instructed the Parties that a “scheduling order is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.” First Scheduling Order (Mar. 4, 2021) at 2 (citations and quotation marks omitted). Yet the non-producing Respondents have done just that—“cavalierly disregarded” the deadlines set by the Second Scheduling Order without prior consent from the Presiding Officer or timely notice to IMCC.⁶ These actions seriously prejudice IMCC’s ability to depose the non-producing Respondents. IMCC currently has only ***thirteen days*** before depositions begin, a substantial enough challenge given that there will likely be in excess of 20 depositions during the deposition period, and the non-producing Respondents’ total failure to produce anything at all since April.

In contrast, IMCC has fully completed its production to Respondents, including rolling

⁴ IMCC has not included the text of its discovery requests as required by the Initial Order ¶ 11 because the present dispute concerns non-producing Respondents’ noncompliance with the scheduling order’s timing regarding all of IMCC’s discovery requests, as modified in subsequent negotiations with the Respondents.

⁵ Because the non-producing Respondents have not made *any* productions since April, IMCC cannot yet evaluate if completing depositions will be feasible under the schedule. However, IMCC is proceeding diligently, and has already noticed three depositions for other Respondents.

⁶ IMCC attempted to meet-and-confer with the non-producing Respondents to cure their failure without involving the Presiding Officer—to no avail. *See* Golden Decl. ¶ 10.

productions over the summer, allowing Respondents time to review IMCC's documents. *Supra* n.2. IMCC even repeatedly reminded all Respondents of their commitments to make rolling productions—to which IMCC received no response. Exs. 2-3. IMCC counsel must now waste precious time bringing the matter to the Presiding Officer's attention.

IMCC therefore believes sanctions are warranted against the non-producing Respondents. The Presiding Officer “may make such orders . . . as are just” when a party “fails or refuses to obey an order requiring it . . . to respond to discovery requests,” 46 C.F.R. § 502.150(b). Tribunals have the “inherent powers . . . to manage their own affairs so as to achieve the orderly and expeditious disposition of cases,” including “the ability to fashion an appropriate sanction for conduct which abuses the judicial process.” *Goodyear Tire & Rubber Co. v. Haeger*, 137 S. Ct. 1178, 1186 (2017) (quoting *Chambers v. NASCO, Inc.*, 501 U.S. 32, 44-45 (1991)); 46 C.F.R. § 502.12 (“the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice”); *cf. also* Scheduling Order (Mar. 4, 2021) at 2 (“The authority of courts to control their dockets is well settled.” (citations omitted)). One permissible sanction is “an assessment of attorney’s fees . . . instructing a party that has acted in bad faith to reimburse legal fees and costs incurred by the other side” in order to compensate for “the sum total of the fees that, except for the misbehavior, would not have accrued.” *Haeger*, 137 S.Ct. at 1186-87.

Sanctions are warranted here. The non-producing Respondents have unilaterally disobeyed the Presiding Officer's operative scheduling order, which required the completion of document production by September 3, 2021. Second Amended Scheduling Order at 2. Yet at the close of business on that deadline, and before a Federal holiday weekend, the non-producing Respondents informed IMCC *for the first time* that they would not comply with the Order. Ex.

4. Non-producing Respondents failed to confer in good faith with IMCC about their inability to comply with the litigation schedule. This failure to confer timely and in advance was not happenstance; it was a calculated decision by Respondents to gain tactical advantage in the deposition process.

IMCC is clearly prejudiced by the non-producing Respondents' bad faith conduct. The non-producing Respondents' decision to not comply with the Presiding Officer's order denies IMCC the ability to conduct depositions in the order that it chooses and to have the full benefit of all Respondents' productions prior to the deposition period. This prejudice is exacerbated by the fact that two Respondents have provided no estimate at all of their expected dates of production. Had the non-producing Respondents made rolling productions throughout the document discovery period as required, had they completed their productions by the September 3 deadline as required, or had they at least timely notified IMCC of their planned failure to comply with the operative scheduling order with the goal of seeking another extension from the Presiding Officer, IMCC would not be nearly as prejudiced heading into fact depositions, particularly given that there will likely be in excess of 20 depositions during the deposition period.

IMCC incurred attorneys' fees and costs associated with this Motion and the supporting papers only "because of the misconduct at issue." *Haeger*, 137 S.Ct. at 1186. Thus, IMCC respectfully requests an Order requiring the non-producing Respondents to pay IMCC's attorneys' fees and costs to rectify this problem of their own making. Finally, IMCC respectfully requests that the Presiding Officer enter an Order that, after the non-producing Respondents finalize their document productions, they cure any deficiencies within three (3) calendar days of notice by email from IMCC. Given the limited time to complete fact depositions, there simply is

no more time to waste with Respondents' gamesmanship regarding document productions. This remedy is needed to finish the document discovery phase expeditiously.

MSC, ZIM, COSCO, and Wan Hai's Statements:

III. CONCLUSION

IMCC respectfully requests that the Presiding Officer issue an immediate Order compelling MSC, ZIM, COSCO, and Wan Hai to complete their document productions as quickly as possible. IMCC further respectfully requests that the Presiding Officer issue an Order requiring MSC, ZIM, COSCO, and Wan Hai to pay IMCC's attorneys' fees and costs associated with preparing this Motion and supporting papers, or such other relief as the Presiding Officer believes is warranted. Last, IMCC respectfully requests an Order requiring the non-producing Respondents to cure any deficiencies in their document productions within three (3) calendar days of notice by email from IMCC.

Dated: September 7, 2021

Respectfully submitted,

/s/ David Golden

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CERTIFICATE OF SERVICE

I certify that, on September 7, 2021, a true and current copy of the foregoing Complainant's Motion to Compel and for Sanctions was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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